

Individual proposal

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1.Executive summary

1.1 Purpose

This report aims to demonstrate the viability of Chinese premium herbal skincare brand Herborist entering the Australian market. The Australian skincare market exhibits steady growth and cultural diversity, with consumer demand for natural and premium products aligning closely with Herborist's positioning of ‘Eastern herbs combined with modern technology’.

1.2 Findings

At the market level, Australia's skincare market was valued at approximately A$3.826 billion in 2024, projected to grow to A$4.528 billion by 2029, with facial care accounting for nearly 80% of the market (MarketLine, 2025).

At the consumer level, women aged 20–40 with medium-to-high incomes form the core target demographic. Individuals aged 30–50 prioritize anti-ageing products, while Chinese and Asian communities exhibit inherent affinity towards traditional Chinese herbal concepts. Generation Z remains profoundly influenced by social media, with brand image serving as a key determinant of purchase intent (Tan, 2025).

At the corporate level, Shanghai Jahwa United Co., Ltd. reported revenue of approximately A$1.386 billion in 2023, with skincare operations contributing around A$418 million. Its first-quarter 2025 research and development expenditure reached approximately A$8.135 million, demonstrating sustained innovation and international expansion potential (Shanghai Jahwa United Co., Ltd., 2024a, 2025b).

1.3 Recommendations

Initially entering the market through cross-border e-commerce and local distribution channels, the brand secured placements in mainstream outlets such as Chemist Warehouse and Sephora Australia. It focused on the ‘New Seven Whitening’ brightening range and the ‘Tai Chi’ anti-ageing range to address the whitening needs of younger demographics and the anti-ageing demands of middle-aged consumers. During the intermediate phase, collaborations with local retailers or contract manufacturers gradually reduced costs and enhanced adaptability, while expanding into the premium ‘Purple Imperial Age’ repair range. Long-term strategy involves establishing experiential boutiques and direct-to-consumer channels to create

immersive herbal skincare experiences. This fully showcases Herborist's brand positioning of ‘Eastern Herbs + Modern Technology, further solidifying its recognition within the premium market.

1.4 Justification

This report's conclusions are grounded in systematic analysis of Herborist's annual reports, industry databases (MarketLine, IBISWorld), and relevant academic research. Data indicates the Australian market exhibits stable growth, strong cultural inclusivity, and an untapped niche within the herbal skincare segment. By reinforcing its differentiated value proposition and adopting a phased market entry strategy, Herborist can effectively mitigate risks and achieve long-term sustainable development for the brand in international markets.

2.1 Brand/company introduction

Herborist, established by Shanghai Jahwa in 1998, is China's first premium skincare brand to integrate traditional Chinese herbal principles with modern science. Its product portfolio spans skincare, personal care and cosmetics, targeting the mid-to-high-end market. Positioned around the core differentiation of ‘Eastern Herbalism + Modern Technology’, the brand emphasizes natural ingredients, safety and efficacy.

According to the group's annual report, Herborist holds considerable influence within China's premium skincare market. Representative ranges include the ‘Tai Chi Series’ and ‘New Seven Whitening Series’, with its flagship online store boasting over one million users and maintaining a repurchase rate exceeding 40%, demonstrating stable consumer loyalty. Despite facing intense competition in the Chinese market, Herborist continues to exhibit potential for differentiation. Further details regarding the enterprise are provided in the appendix.

Concurrently, Shanghai Jahwa continues to increase its R&D investment, with expenditure exceeding AUD 8.135 million in the first quarter of 2025, focusing on the scientific validation and innovation of Chinese herbal ingredients. This research-driven approach not only reinforces the brand's professional image but also aligns with the global consumer trend towards natural, healthy skincare. Through its unique cultural narrative and sustained innovation, Herborist possesses expansion advantages and differentiated competitiveness in international markets, particularly within Australia's natural skincare sector.

2.2 Justification for the destination country and the market entry strategy

2.2.1 Target Country Selection

The Australian skincare market holds significant appeal. Industry analysis indicates that the sector generated approximately A$763 million in revenue in 2025, projected to rise to A$883 million by 2030, representing an annual growth rate of 3.0% (IBISWorld, 2025). Although dominated by international giants such as L'Oréal, Unilever, and Beiersdorf, the market share of imported products has declined from 83.5% to 70.7%, indicating a consumer shift towards localised brands with distinctive cultural narratives (IBISWorld, 2025). This presents an opportunity for Herborist to enter the market with its positioning of 'Eastern herbalism + modern science'.

Furthermore, Australia's diverse demographic includes a significant proportion of Chinese and Asian populations who possess an inherent affinity for traditional Chinese herbal skincare concepts, providing a cultural foundation for brand expansion. Concurrently, O'Rourke et al. (2022, p.372) note that differentiated value depends on alignment with consumer purchase objectives, implying that Herborist must strengthen the consistency between its products and customer needs to bolster confidence and acceptance

Regarding market entry strategies, research by Shi et al. (2023) indicates that when brand differentiation is high, premium brands are better suited to distribution channels, whereas lower-end brands tend towards platform entry. This aligns with Kotler, Keller, & Chernev's (2021, pp.568–570) classification of international market entry modes, where direct investment, joint ventures, licensing, direct export, and indirect export each possess distinct characteristics. Considering Herborist's differentiation strengths and risk management requirements, a model combining direct export with cross-border e-commerce and local distribution channels is more appropriate. Subsequent market expansion could be deepened through joint ventures and contract manufacturing.

2.2.2 Entry Strategy Rationale

Comprehensively, a model combining direct export with cross-border e-commerce and local distribution channels is most suitable for Herborist. Initially, Herborist could enter Australia via cross-border platforms established in China, such as Tmall Global and JD.com International. This approach offers low entry costs and aligns with Chinese consumers' shopping habits. Concurrently, entering local retailers (e.g., Chemist Warehouse, Sephora Australia) would gradually expose products to Australian consumers. As brand recognition grows Herborist may further adopt a joint venture approach: collaborating with local personal care retailers on the sales side; utilizing

contract manufacturing to produce some goods locally in Australia on the production side. This would reduce transport and tariff costs while maintaining quality, enabling further expansion. Regardless, direct export remains the optimal choice during the initial entry phase.

3.1 Points of difference and points of parity

Kotler, Keller and Chernev (2021, pp.171–175) note that Points of Differentiation (PODs) represent unique advantages recognised by consumers and difficult to replicate, whereas Points of Presence (POPs) constitute fundamental requirements brands must fulfil. Facing cross-cultural challenges in the Australian market, Herborist must therefore balance both aspects.

3.1.1 PODs

Effective PODs must satisfy three criteria: Desirable, Deliverable, and Differentiable. MarketLine's (2025) research report indicates that consumer preferences for health, natural, and premium skincare are driving industry growth. This aligns strongly with Herborist's differentiated positioning of 'Eastern Herbalism + Modern Technology,' demonstrating that its differentiation points hold appeal for customers. Secondly, Herborist's sustained high investment in new product innovation (A$8.1354 million in Q1 2025) demonstrates the company's viability. Finally, the research indicates that the Australian market is dominated by international giants such as L'Oréal, Estée Laude,, ect,whose offerings are primarily technology-driven. The Australian premium market lacks brands centered on Chinese herbal skincare as their core narrative, positioning Herborist uniquely.

Notably, O'Rourke, Carrillat, and Wang (2022) found that the value of differentiation depends to some extent on alignment with consumers' purchase objectives. Herborist's limited brand recognition may lead to consumer unfamiliarity with its products, potentially undermining brand differentiation. Consequently, maintaining focus on Points of Purchase (POPs) remains crucial.

3.1.2 POPs

Within the skincare industry, POPs encompass product safety, regulatory compliance, fundamental efficacy, and channel accessibility (Kotler et al., 2021, pp.171–173). Umemura & Slater (2017, p.887) note that Shiseido's overreliance on 'Oriental imagery' while neglecting efficacy validation and channel alignment constrained its

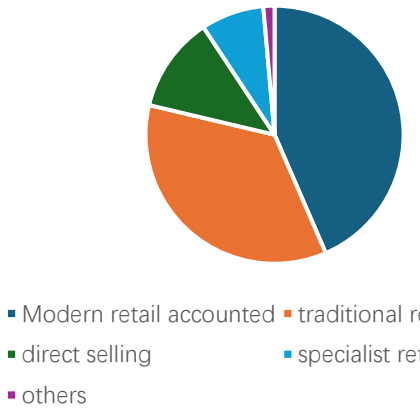
internationalization success. Herborist may draw lessons from this experience: leveraging Shanghai Jahwa's compliance expertise in European markets to ensure formulations meet Australian TGA and ACCC requirements; simultaneously aligning foundational efficacy with international brands to achieve POPs.

3.2 Market segmentation and target customers in the destination country

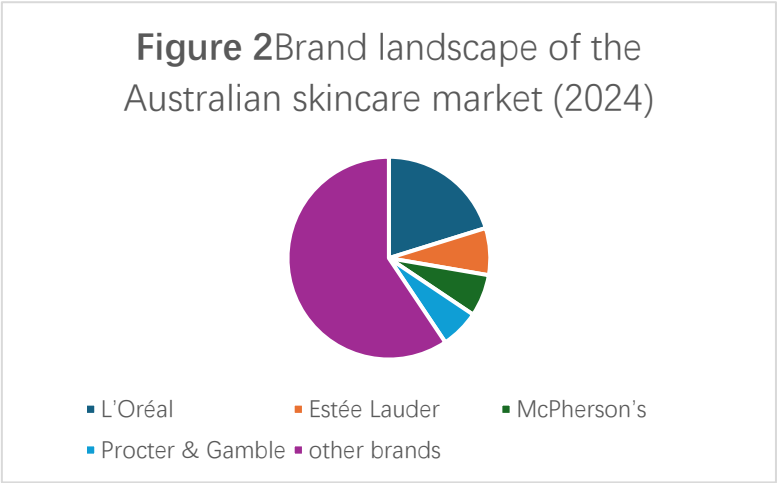
When entering the Australian market, Herborist should prioritize demographic and behavioral segmentation. Women aged 20–40 with medium to high incomes constitute the core target group. Younger consumers primarily focus on whitening and moisturizing, while mature consumers place greater emphasis on anti-ageing efficacy. These groups possess strong purchasing power and demonstrate high recognition of Herborist's value proposition.

Regarding demographic segmentation, the brand should target middle-to-high-income women aged 20–40. IBIS industry research indicates this demographic demonstrates greater willingness to spend on skincare products offering whitening and moisturising benefits. These facial care products account for 79.8% of Australia's skincare market, clearly demonstrating this group as the primary consumer driver. Regarding behavioural segmentation, the distribution of customer channels for skincare purchases is detailed in Figure 1: modern retail accounts for 43.5%, traditional retail 35.2%, direct sales 12%, specialty stores 7.9%, and other channels 1.4%. This indicates that Herborist should prioritize entry into major pharmacy chains such as Chemist Warehouse, alongside premium beauty retail channels like Sephora Australia.

Figure 1: Australian skincare market channel distribution (2024)



Source: MarketLine, 2025



Source: MarketLine, 2025

Concurrently, consumers demonstrate significant affinity towards international giants in brand preference: L'Oréal leads with a 20.2% market share, followed by Estée Lauder at 7.5%, McPherson's at 6.7%, and Procter & Gamble at 6.2%. The remaining brands collectively account for 59.4%. This table indicates that the Australian skincare market retains a degree of fragmentation, presenting entry opportunities for differentiated brands.

In summary, Herborist's core target customers should be high-income women aged 20–40 who prioritize natural, safe, premium skincare experiences and demonstrate high receptivity to cross-cultural products. The secondary target group comprises customers aged 30–50 seeking anti-ageing solutions, while potential customers center on Australia's Chinese and Asian communities, who exhibit strong brand value acceptance and considerable purchasing power.

4.1 Value proposition for the target customers (e.g., functional, social, etc.) in the destination country

Herborist holds functional, social and emotional value in Australia. As a premium skincare brand, it emphasizes the moisturizing and anti-ageing properties of its products, combining natural botanical ingredients with modern technology to deliver safe and effective skincare solutions that fulfil functional needs. Moreover, within contemporary consumer trends, an increasing number of customers integrate personal care with their values, transforming it into a means of expressing their lifestyle. Herbori, offers customers unique social value. Finally, for customers with a Chinese cultural background, Herborist can to some extent satisfy their cultural and emotional

needs. For those unfamiliar with Chinese culture, the brand still fulfils their emotional desire for individuality and cultural novelty.

4.2 Value proposition for one key collaborator

Overall, Herborist delivers channel value, profit value and brand value to its partners, including retailers, e-commerce platforms and distributors. As a differentiated brand, Herborist offers partners unique product categories, enabling them to stand out in a homogenised competitive landscape. Furthermore, the brand's strong presence in the mid-to-high-end market, coupled with robust profitability, drives new consumption growth points and enhances overall revenue. Introducing Herborist to partners not only brings the products themselves but also allows collaborators to leverage the brand's cultural narrative and international image to elevate their own market standing. For instance, retailers stocking Herborist can cultivate a more 'diverse and international' brand image, thereby enhancing their appeal to target consumer groups.

4.3 Value proposition for the company

From a corporate perspective, Herborist's entry into the Australian market delivers three key value propositions. Firstly, profit value: the Australian skincare market exhibits steady growth, with strong purchasing power among mid-to-high-end consumers. Herborist's premium pricing strategy enables it to secure new revenue streams while enhancing gross margins. Secondly, brand equity value: entering developed markets not only expands its sales footprint but also reinforces its image as an 'international premium herbal skincare brand,' elevating global brand recognition and influence. Finally, strategic value: Australia's multicultural landscape and stringent regulatory environment will enable Herborist to accumulate cross-cultural management expertise and international operational data, thereby laying the groundwork for future expansion into more competitive markets such as Europe and the United States.

5.1 Brand strategy in the destination country

Herborist's brand strategy for the Australian market should focus on four key areas: differentiated positioning, channel penetration, communication methods, and localisation adjustments. Regarding brand positioning, Herborist must maintain its core identity as 'Eastern botanicals + modern technology', reinforcing its differentiated value proposition as a mid-to-high-end skincare brand. By highlighting its natural, safe, and effective attributes, it should differentiate itself from European and American brands emphasizing 'scientific efficacy' and local brands promoting 'sustainable environmentalism,' enabling consumers to clearly recognize Herborist's uniqueness

amidst numerous competitors.

The brand should precisely target women aged 20–40 with medium to high incomes as its core customer base, while also catering to mature consumers seeking anti-ageing solutions and culturally aligned Chinese and Asian consumers.

Herborist should prioritize social media and influencer marketing as primary communication tools, particularly on platforms like Instagram and TikTok, collaborating with local beauty bloggers to amplify brand storytelling. Shaping the brand image through digital channels favored by younger demographics can enhance Gen Z consumers' affinity and purchase intent. Regarding pricing strategy, maintaining a mid-to-high-end positioning is essential, emphasizing 'premium quality and differentiation' to avoid price wars. This approach preserves brand premiumization and upholds its high-end skincare positioning.

Often overlooked in localization strategies, Herborist must align with Australian regulatory and cultural requirements. This entails ensuring product formulations comply with local standards and incorporating eco-conscious and health-focused elements into packaging and messaging.

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Appendix

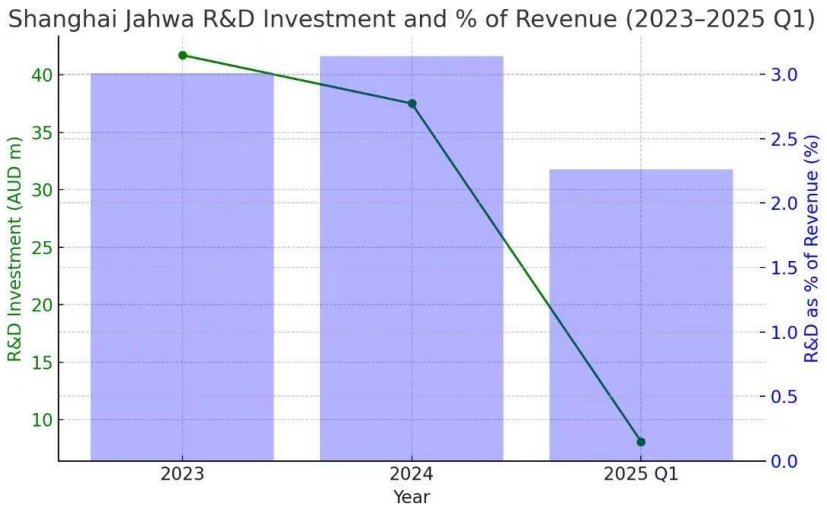
Table 1: Scale Overview of Herborist

Year/Period	Indicator	RMB (billion / million)	Notes
2023	Total Revenue	¥65.98 bn	Group total revenue, down 7.16% YoY
2023	Skincare Segment Revenue	¥19.9 bn	Revenue from skincare, growth only 0.98%
2023	Herborist Market Share	0.6% (department stores), 5.9% (mass skincare)	'Tai Chi Bobo Water' sales exceeded ¥1 bn
2024	Herborist Subsidiary Net Profit	-¥74.6 m	Negative profit due to channel shrinkage and inventory clearance
2024	Market Share	0.5% (department stores), 5.6% (mass skincare)	Market share continued to decline
2025 Q1	Total Revenue	¥17.04 bn	Revenue down 10.6% YoY
2025 Q1	Net Profit Attributable to Shareholders	¥2.17 bn	Net profit down 15.3% YoY
2025 Q1	R&D Investment	¥387.4 m	Increased R&D expenses
2025 Q1	Operating Cash Flow	¥6.16 bn	Cash flow improved, +7.96% YoY

13.

Source: Shanghai Jahwa United Co., Ltd. (2025a). *2024 annual report*. Shanghai Jahwa United Co., Ltd.

Figure3: R&D Investment



14.

Source: Shanghai Jahwa United Co., Ltd. (2025a). *2024 annual report*. Shanghai Jahwa United Co., Ltd.

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